IN THE COURT OF APPEAL OF THE DEMOCRATIC SOCIALIST REPUBLIC OF SRI LANKA

In the matter of a Case Stated under section 11A of the Tax Appeals Commission Act No. 23 of 2011 (as amended).

CA Case No: CA/TAX/10/2020
Tax Appeals Commission No.
TAC/IT/079/2016

S.G. Logistics (Private) Limited,
No. 10,
Mile Post Avenue,
Colombo 03.

Appellant

CA Case No: CA/TAX/11/2020
Tax Appeals Commission No.
TAC/IT/080/2016

Vs.

Commissioner General of Inland Revenue,
Department of Inland Revenue,
Sir Chittampalam A. Gardiner Mawatha,
Colombo 02.

Respondent

Before: **M.C.B.S. Morais J.**

&

Annalingam Premashanker J.

Counsel:

CA/TAX/10/2020	Harsha Amarasekara, PC with Kanchana Peiris, AAL instructed by M/s Paul Ratnayake Associates for the Appellant.
	Chaya Sri Nammuni, DSG for the Respondent.
CA/TAX/11/2020	Harsha Amarasekara, PC with Kanchana Peiris, AAL instructed by M/s Paul Ratnayake Associates for the Appellant.
	Chaya Sri Nammuni, DSG for the Respondent.

Written Submissions:

CA/TAX/10/2020	By the Appellant – on 31.08.2026, 10.05.2024
	By the Respondent – on 25.11.2025, 04.11.2024
CA/TAX/11/2020	By the Appellant – 31.08.2026, 10.05.2024
	By the Respondent – 24.11.2025, 04.11.2024
Argued on:	11.03.2026
Decided On:	**29.10.2026**

JUDGMENT

M.C.B.S. Morais J.

As reflected in the journal entry dated 9th of July 2024, the parties agreed that CA/TAX/10/2020 and CA/TAX/11/2020, which involve the same parties and raise substantially identical issues of law, be disposed of by way of a common judgment. Accordingly, this judgment is delivered in respect of both appeals.

FACTUAL BACKGROUND

CA/TAX/10/2020

This is an appeal by way of case stated against the determination of the Tax Appeals Commission (TAC) dated 20th of February 2020. This appeal is filed under Section 11A of the Tax Appeals Commission Act No. 23 of 2011 (as amended).

The tax in dispute is against the assessment made for the taxable period 2012/2013 and the taxable amount in issue is Rs. 6,137,141.00 with a penalty of 3,068,570.00.

The S.G. Logistics (Pvt) Ltd (hereinafter will be referred to as the Appellant) is a company engaged in the business of freight forwarding, and acts as a freight forwarding agent of DB Schenker Logistics Network Group of Germany, in Sri Lanka.

The Appellant has submitted the VAT return for the above taxable period 2012/2013, which was rejected by the Assistant Commissioner of Inland Revenue by the letter dated 15th of December

2014. Accordingly, the Assistant Commissioner has issued an assessment by the Notice of Assessment dated 24th of February 2015.

The Appellant being aggrieved by the decision of the Assessor, made an appeal to the Commissioner General of Inland Revenue (hereinafter will be referred to as the Respondent). The Respondent in his determination dated 23rd of November 2016 determined the appeal by upholding the assessment issued by the Assistant Commissioner. The Appellant being dissatisfied with the said determination of the Respondent, made an appeal to the Tax Appeals Commission (TAC). The TAC after considering the submissions made by both parties, dismissed the appeal by the determination dated 20th of February 2020 and confirmed the determination made by the Respondent.

Being dissatisfied with the said determination, the Appellant has requested the TAC to cause a Case Stated to the Court of Appeal on the following Questions of Law.

"1. a) Prior to the Inland Revenue (Amendment) Act No.8 of 2014 coming into effect on 1st April 2014, could an assessment only be raised by an Assessor?

b) Did the Commission err in law in arriving at the erroneous conclusion that the Assistant Commissioner was empowered to issue an assessment for the Year of Assessment 2012/2013?

2. Should a Letter of Intimation and the corresponding Notice of Assessment be raised by the same Assessor?

3. a) Is the Assessor who does not accept a return of income obliged to furnish reasons in writing for doing so?

b) Was the Appellant's return of income for the Year of Assessment 2012/2013 not accepted without proper reasons being furnished to the Appellant?

4. For one or more of the above reasons, is the assessment issued against the Appellant in this matter for the Year of Assessment 2012/2013 of no force or avail in law?

5. In determining whether the Appellant was entitled to the exemption set out in S. 13 (ddd) of the Inland Revenue Act, No. 10 of 2006 as amended by Acts Nos.9 of 2008 and 22 of 2011, did the Commission err in failing to take cognizance of;

a) The terms of the Agreement between the Appellant and M/s. Schenker AG?

b) The fact that the risk of each shipment and collection of freight payments is on the Appellant in respect of business channeled to it by M/s. Schenker AG and its affiliates?

c) The fact that the party collecting freight payment from the customer is obliged to pay a Network Contribution Fee to the counterpart in the Schenker Network?

d) The fact that inasmuch as M/s. Schenker AG and its affiliates route business to the Appellant, the Appellant also routes business to M/s. Schenker AG and its affiliates in terms of the said Agreement?

e) The basis of computation of the income of the Appellant from the business it transacted with M/s. Schenker AG and its affiliates?

f) The fact that the income of the Appellant was not computed as a fixed percentage or commission based on any income of M/s. Schenker AG and its affiliates?

g) The fact that the Agreement itself refers to the Appellant as a Partner?

h) The true nature of the relationship between the Appellant on the one hand and M/s. Schenker AG and its affiliates on the other?

6. a) Does the exemption set out in S. 13(ddd) of the Inland Revenue Act, No. 10 of 2006 as amended by Acts Nos. 9 of 2008 and 22 of 2011 apply to the income of this Appellant in respect of the business it generated from providing freight forwarding services to a foreign freight forwarding company?

b) does the fact that the Financial Statements of the Appellant referred to the appellant as an Agent of a foreign Freight forwarding company not ipso facto disentitle the Appellant from such exemption?

c) Did the Commission fail to take cognizance of the fact that the Auditors of the Appellant had issued a written clarification to the Financial Statements of the Appellant to the effect that the Appellant was not an agent of the said M/s. Schenker AG?

7. Did the Commission fail to take cognizance of the fact that term 'agent' is a mere term of convenience used in the Freight Forwarding industry, and its usage in the Freight Forwarding industry does not connote a relationship with the legal attributes of an agency?

8. Did the commission err in failing to take cognizance of the fact that the relationship between the Appellant and M/s. Schenker AG does not have the attributes of a relationship of principal and Agent?

9. Did the commission err in law in arriving at the erroneous conclusion that the Appellant was an Agent of M/s. Schenker AG?

10. Did the Commission err in law in arriving at the erroneous conclusion that the income of the Appellant from the business it engaged in with M/s. Schenker AG and its affiliates was a "commission, discount or similar receipt"?

11. Did the Commission err in arriving at the erroneous conclusion that all agent income amounts to "commission, discount or similar receipt"?

12. Did the Commission err in failing to consider and/or examine the actual basis and/or nature of the Appellant's income from its business with M/s. Schenker AG and its affiliates?

13. Is any income of the Appellant which complies with the other attributes of S 13 (ddd) that are not in dispute in this matter, and which does not amount to "commission, discount or similar receipt", exempt from income tax in terms of S. 13 (ddd) of the Inland Revenue Act, No. 10 of 2006 as amended by Acts, Nos. 9 of 2008 and 22 of 2011?

14. a) Did the Commission err in law in delivering their Determination by presuming that Appellant's only income is its Network Connection Fee income, whilst the Appellant also has further foreign earnings for which it has claimed the exemption set out in S. 13 (ddd) of the Inland Revenue Act, No. 10 of 2006 as amended by Acts Nos. 9 of 2008 and 22 of 2011?

b) Did the commission err in failing to take cognizance of and/or properly comprehend the nature of the Network Connection Fee?

15. In any event, did the Commission err in law in arriving at the erroneous conclusion that an agent is not entitled to avail itself of the exemption in terms of S. 13 (ddd) of the Inland Revenue Act, No. 10 of 2006 as amended by Acts Nos. 9 of 2008 and 22 of 2011?

16. Is the Appellant entitled in law to the exemption set out in S. 13 (ddd) of the Inland Revenue Act, No. 10 of 2006 as amended by Act No. 9 of 2008 and 22 of 2011?

17. Did the Commission fail to properly examine and/or apply and/or appreciate the facts relevant to this matter?"

CA/TAX/11/2020

This is an appeal by way of case stated against the determination of the Tax Appeals Commission (TAC) dated 27th of February 2020. This appeal is filed under Section 11A of the Tax Appeals Commission Act No. 23 of 2011 (as amended).

The tax in dispute is against the assessment made for the taxable period 2011/2012 and the taxable amount in issue is Rs. 29,799,137.00 with a penalty of 14,899,568.00.

The S.G. Logistics (Pvt) Ltd (hereinafter will be referred to as the Appellant) is a company engaged in the business of freight forwarding, and acts as a freight forwarding agent of DB Schenker Logistics Network Group of Germany, in Sri Lanka.

The Appellant has submitted the VAT return for the above taxable period 2011/2012, which was rejected by the Assistant Commissioner of Inland Revenue by the letter dated 25th of November 2014. Accordingly, the Assistant Commissioner has issued an assessment by the Notice of Assessment dated 28th of November 2014.

The Appellant being aggrieved by the decision of the Assessor, made an appeal to the Commissioner General of Inland Revenue (hereinafter will be referred to as the Respondent). The Respondent in his determination dated 23rd of November 2016 determined the appeal by upholding the assessment issued by the Assistant Commissioner. The Appellant being dissatisfied with the said determination of the Respondent, made an appeal to the Tax Appeals Commission (TAC). The TAC after considering the submissions made by both parties, dismissed

the appeal by the determination dated 27th of February 2020 and confirmed the determination made by the Respondent.

Being dissatisfied with the said determination, the Appellant has requested the TAC to cause a Case Stated to the Court of Appeal on the following Questions of Law.

"1. a) Prior to the Inland Revenue (Amendment) Act No.8 of 2014 coming into effect on 1st April 2014, could an assessment only be raised by an Assessor?

b) Did the Commission err in law in arriving at the erroneous conclusion that the Assistant Commissioner was empowered to issue an assessment for the Year of Assessment 2011/2012?

2. a) In confirming an assessment in terms of Section 165 of the Inland Revenue Act, No. 10 of 2006 as amended, is the Commissioner General of Inland Revenue not entitled to rely on grounds outside those cited by the Assessor?

b) Did the Commissioner General of Inland Revenue consider matters outside those cited by the Assessor in the Determination of the Appellant's appeal in this matter?

3. Should a Letter of Intimation and the corresponding Notice of Assessment be raised by the same Assessor?

4. a) Is the Assessor who does not accept a return of income obliged to furnish reasons in writing for doing so?

b) Was the Appellant's return of income for the Year of Assessment 2011/2012 not accepted without proper reasons being furnished to the Appellant?

5. For one of more of the above reasons, is the assessment issued against the Appellant in this matter for the Year of Assessment 2011/2012 of no force or avail in law?

6. In determining whether the Appellant was entitled to the exemption set out in S. 13 (ddd) of the Inland Revenue Act, No. 10 of 2006 as amended by Acts Nos.9 of 2008 and 22 of 2011, did the Commission err in failing to take cognizance of;

a) The terms of the Agreement between the Appellant and M/s. Schenker AG?

b) The fact that the risk of each shipment and collection of freight payments is on the Appellant in respect of business channeled to it by M/s. Schenker AG and its affiliates?

c) The fact that the party collecting freight payment from the customer is obliged to pay a Network Contribution Fee to the counterpart in the Schenker Network?

d) The fact that inasmuch as M/s. Schenker AG and its affiliates route business to the Appellant, the Appellant also routs business to M/s. Schenker AG and its affiliates in terms of the said Agreement?

e) The basis of computation of the income of the Appellant from the business it transacted with M/s. Schenker AG and its affiliates?

f) The fact that the income of the Appellant was not computed as a fixed percentage or commission based on any income of M/s. Schenker AG and its affiliates?

g) The fact that the Agreement itself refers to the Appellant as a Partner?

h) The true nature of the relationship between the Appellant on the one hand and M/s. Schenker AG and its affiliates on the other?

7. a) Does the exemption set out in S. 13(ddd) of the Inland Revenue Act, No. 10 of 2006 as amended by Acts Nos. 9 of 2008 and 22 of 2011 apply to the income of this Appellant in respect of the business it generated from providing freight forwarding services to a foreign freight forwarding company?

b) does the fact that the Financial Statement of the Appellant referred to the appellant as an Agent of a foreign Freight forwarding company not ipso facto disentitle the Appellant from such exemption?

c) Did the Commission fail to take cognizance of the fact that auditors of the Appellant had issued a Written clarification to the Financial Statements of the appellant to the effect that the Appellant was not an agent of the said M/s. Schenker AG?

8. Did the Commission fail to take cognizance of the fact that term 'agent' is a mere term of convenience used in the Freight Forwarding industry, and its usage in the Freight Forwarding industry does not connote a relationship with the legal attributes of an agency?

9. Did the commission err in failing to take cognizance of the fact that the relationship between the Appellant and M/s. Schenker AG does not have the attributes of a relationship of principal and Agent?

10. Did the commission err in law in arriving at the erroneous conclusion that the Appellant was an Agent of M/s. Schenker AG?

11. Did the Commission err in law in arriving at the erroneous conclusion that the income of the Appellant from the business it engaged in with M/s. Schenker AG and its affiliates was a "commission, discount or similar receipt"?

12. Did the Commission err in arriving at the erroneous conclusion that all agent income amounts to "commission, discount or similar receipt"?

13. Did the Commission err in failing to consider and/or examine the actual basis and/or nature of the Appellant's income from its business with M/s. Schenker AG and its affiliates?

14. Is any income of the Appellant which complies with the other attributes of S 13 (ddd) that are not in dispute in this matter, and which does not amount to "commission, discount or similar receipt", exempt from income tax in terms of S. 13 (ddd) of the Inland Revenue Act, No. 10 of 2006 as amended by Acts, Nos. 9 of 2008 and 22 of 2011?

15. a) Did the Commission err in law in delivering their Determination by presuming that Appellant's only income is its Network Connection Fee income, whilst the Appellant also has further foreign earnings for which it has claimed the exemption set out in S. 13 (ddd) of the Inland Revenue Act, No. 10 of 2006 as amended by Acts Nos. 9 of 2008 and 22 of 2011?

b) Did the commission err in failing to take cognizance of and/or properly comprehend the nature of the Network Connection Fee?

16. In any event, did the Commission err in law in arriving at the erroneous conclusion that an agent is not entitled to avail itself of the exemption in terms of S. 13 (ddd) of the Inland Revenue Act, No. 10 of 2006 as amended by Acts Nos. 9 of 2008 and 22 of 2011?

17. Is the Appellant entitled in law to the exemption set out in S. 13 (ddd) of the Inland Revenue Act, No. 10 of 2006 as amended by Acts Nos. 9 of 2008 and 22 of 2011?

18. Did the Commission fail to properly examine and/or apply and/or appreciate the facts relevant to this matter?"

ANALYSIS

In considering the Questions of Law raised by the Appellant in CA/TAX/10/2020 and CA/TAX/11/2020, I identify two main issues for determination.

Questions of Law No. I, II, III, IV and V relate to the validity of the assessments issued by the Assistant Commissioner and therefore will be considered together. Questions of Law No. VI to XVIII concern the application of the exception under section 13(ddd) of the Inland Revenue Act No. 10 of 2006 (IRA 2006). Hence, I shall consider these questions separately from the issue of the validity of the assessments.

Validity of the Assessment

It is the contention of the Appellant that the assessment issued is not valid in law for the following reasons;

a. That the Assistant Commissioner is not empowered to issue an assessment for the Year of Assessment 2011/2012.
b. The intimation letter and the notice of assessment were not issued by the same person.
c. The intimation letter did not require the reasons for the rejection of the taxable return.

It is the first contention of the Appellant that prior to the Inland Revenue (Amendment) Act No.8 of 2014 coming into effect on 1st April 2014, an assessment can only be raised by an Assessor and not by an Assistant Commissioner of the Inland Revenue. On this basis the Appellant argues that the assessment is not valid in law.

As the law stood prior to the Amendment Act No.8 of 2014, the section 163(3) of the IRA 2006 reads as follows;

"163.

(3) Where a person has furnished a return of income, the Assessor may in making an assessment on such person under subsection (1) or under subsection (2), either–

(a) accept the return made by such person; or

(b) if he does not accept the return made by that person, estimate the amount of the assemble income of such person and assess him accordingly:

Provided that where an Assessor does not accept a return made by any person for any year of assessment and makes an assessment or additional assessment on such person for that year of assessment, he shall communicate to such person in writing his reasons for not accepting the return."

Section 163(3) of the Inland Revenue Act No. 10 of 2006 empowers an Assessor to assess a person who has furnished a return and, where the return is not accepted, requires the reasons for such rejection to be communicated in writing. However, in the present matter it is the Assistant Commissioner, who has communicated the reasons for not accepting the taxpayer's return by the letter of intimation dated 15th of December 2014.

It is the contention of the Respondent that the Inland Revenue (Amendment) Act No.8 of 2014 empowers the 'Assessor' as well as the Assistant Commissioner; therefore, the Assistant Commissioner has the authority to issue an assessment. However, it is pertinent to note that the assessment in dispute is for the taxable period 2011/2012 and the Inland Revenue (Amendment) Act No.8 of 2014 came into effect only from 1st April 2014 and it cannot be applied in the present instance.

The section 163(3) of IRA 2006 requires the only Assessor to state the reasons for rejecting the return, and not merely the conclusion reached. It needs to be noted that the IRA 2006, does not provide a wide interpretation for the term 'Assessor'. Therefore this court can only determine that it's the duty of the Assessor alone to issue an Assessment. Even though, there has been a lacuna in terms of this, the amendment made on 2014 clearly rectify this by providing Assessor as well as the Assistant Commissioner the authority to issue an assessment.

Therefore, when considering the above provision, the wording refers the Assessor alone, to issue an assessment. Accordingly, I am of the view that the Assistant Commissioner was not acting within the authority conferred by Section 163(3) of the Act in issuing the assessment.

The second contention of the Appellant is that the letter of intimation and the corresponding notice of assessment should be issued by the same person. However, Sections 163 and 164 of the Inland Revenue Act, which deal with the assessment and the notice of assessment, respectively, require the relevant functions to be carried out by an Assessor, but do not expressly require both documents to be issued by the same person. In the absence of such a requirement, I am of the view that the fact that the letter of intimation and the notice of assessment were issued by different officers does not, by itself, render the assessment invalid. It would also be unreasonable to impose such a requirement on the Department of Inland Revenue, which is responsible for administering tax liabilities throughout the country, in the absence of a clear statutory basis for doing so.

The third contention of the Appellant is that the intimation letter issued by the Assessor does not connote the reasons for the said rejection. In line with such argument it is important to understand the context of such rejection.

The Assistant Commissioner of the Inland Revenue, in the letter dated 15th of December 2014 in the case of CA/TAX/10/2020, has mentioned the following in rejecting the tax return furnished by the Appellant.

"I refer to the Return of Income and Statement of Audited Accounts furnished for the above Year of Assessment and subsequent letter sent by me, dated 23.05.2014.

Company has claimed Income Tax exemption under Section 13(ddd) of the Inland Revenue Act as amended by Act No. 22 of 2011 for the value of Rs. 29,830,049.

Above exemptions cannot be allowed under Section 13 (ddd) of the Inland Revenue Act as amended

by Act No. 22 of 2011 for the reasons given below.

01. The Section 13(ddd) refers as follows.

individual or any partnership in Sri Lanka from any service rendered in or outside Sri Lanka The profits and income earned in foreign currency by any resident Company, any resident to any person or partnership outside Sri Lanka other than any commission, discount of similar receipt for any such services rendered in Sri Lanka:, if such profits and income (less such amount, if any, expended outside Sri Lanka as is considered by the Commissioner General to be reasonable expenses) are remitted to Sri Lanka through a bank,"

According to the above Section it should fulfill following conditions for the exemption of Profit and

Income of the business.

Earnings should be in foreign currency.

Earnings of resident Company, individuals or any partnerships in Sri Lanka,

For any service rendered it. or outside Sri Lanka,

To any person or partnership outside Sri Lanka,

Other than any commission, discount or similar receipts for any such service rendered in or outside Such profit and income should remit to Sri Lanka Jets such amount if any, expended outside Sri Lanka at is considered by the Commissioner General to be reasonable expenses.

noted that nature freight As per the financial statements submitted for the above Year of Assessment it of the operation and principal activities of the business is to freight forwarding and acts forwarding agent on behalf of DB Schenker Logistics Network Group of Company, in Sri Lanka. It further confirms in provisions of the agreement entered with DB Schenker. Item 3 of the Agreement read as follows.

Rate of Network Contribution

The current rate of the Network Contribution is EUR 0,045 per kg of the chargeable weight. This rate may be modified by Schenker AG. SG Logistics (Pvt) Ltd. agrees that the rate set by Schenker AG shall be applicable to all business between SG Logistics (Pvt) Ltd. and the affiliates

Therefore, it is clear that the Company is paid rate of Network Charge based on the weight of the goods exported as this operation performs through the Network of the DB Schenker. It is obvious that the Company is received certain charges for the service rendered and performance made by SG Logistic (Pvt.) Ltd. as an agent. In such a business the commission or similar receipts are received for the services rendered by a person acts as an agent

Also your Company has entered agreement with foreign Company as your principal agent for the purpose of freight forwarding and logistic services business income.

As per the agreement, the Company collects relevant payments and charges in Sri Lanka on behalf of your foreign principal and remit that payments to respective countries of Principal Agent and your collection on services is collected by foreign principal and remit to the Company by way of commission or profit share.

Accordingly, freight forwarding or logistic services you have provided to your foreign principal (agent) cannot be treated as service rendered to any person or partnership outside Sri Lanka since you are not provide your service to a person actually and

completely in outside Sri Lanka as your Company has business connection and act as agent for your principal Company in Sri Lanka as explained above.

According to the invoices submitted by you for the foreign remittances, you received as remittance through a bank on invoiced amounts to your principal on calculated net income by deducting local expenses. It cannot be considered as income received from outside Sri Lanka under 13(ddd) of Inland Revenue Act as amended by Act No. 22 of 2011 as you have calculated your net income by deducting expenses incurred in Sri Lanka…."

When considering the reasons stated by the Assistant Commissioner in the letter of intimation, I am of the view that the basis for rejecting the Appellant's claim has been not been sufficiently explained. The claim for exemption under section 13(ddd) was rejected on the ground that the income in question was received by way of commission for services rendered by the Appellant and, therefore, the requirements of the said provision had not been satisfied. However, the Assistant Commissioner has failed to mention the basis upon which such a conclusion was arrived on. Further, the Assistant commissioner has considered the Network charge fee, which is an amount paid by the Appellant to be a part of the DB Schenker Group and not a payment received from the group to the Appellant. In this regard I am of the view that the Assistant commissioner has given attention to irrelevant materials and declined the exception under section 13(ddd) to the Appellant. Accordingly, I am not satisfied that the Assistant Commissioner has adequately communicated the reasons for rejecting the claim.

The reasons for non-acceptance must disclose the Assessor's reasoning and the basis upon which the return has been rejected. Even though, if the reasons for non-acceptance appear obvious, the legislature has made no exception to this requirement. Therefore, the Assessor is bound to comply with this statutory duty even where the reasons may appear self-evident to the

Assessee.[1]Furthermore, it is my considered view that providing wrongful reasons are equal to providing no reasons at all.

Having considered all three contentions regarding the validity of the assessment, I am of the view that the assessment issued by the Assistant Commissioner is not valid in law for the reasons set out above.

Therefore, I answer the Questions of law No. I, II, III, IV and V in the case of CA/TAX/10/2020 and Questions of Law No. I, III, IV, and V in the case of CA/TAX/11/2020 in the Affirmative.

Since the questions of law in relation to the validity of the assessment has been answered in the above manner, I find no reasons to delve into Question of law No. II in the case of CA/TAX/11/2020. Hence, I shall consider the substantive issues in questions.

Exception under section 13(ddd) of the IRA 2006

It is the contention of the Appellant that it is entitled to the exception provided under section 13(ddd) of IRA 2006.

In analyzing this substantive issue raised, it is important to understand the relevant in relation to that. The section 13 of the IRA 2006, deals with the miscellaneous exemptions from income tax.

Accordingly, section 13(ddd) reads as follows;

> *"13. There shall be exempt from income tax—*
>
> *(ddd) the profits and income earned in foreign currency by any resident company, any resident individual or any partnership in Sri Lanka, from any service rendered in or outside Sri Lanka to any person or partnership outside Sri Lanka, other than any commission, discount or similar receipt for any such service rendered in Sri Lanka, if such profits and income (less such amount, if any, expended outside Sri Lanka as is considered by the Commissioner-General to be reasonable expenses) are remitted to Sri Lanka through a bank,"*

[1] *A. D.M.S. Fernando and Another v. Mohideen Ismail* [1982] 1 SLR 222

The section 13(ddd) of IRA 2006, sets out certain requirements for the exception under the said provision to be applied.

a. *profits and income earned in foreign currency by any resident company.*
b. *from any service rendered in or outside Sri Lanka to any person or partnership outside Sri Lanka.*
c. *remitted to Sri Lanka through a bank.*
d. *other than any commission, discount or similar receipt for any such service rendered in Sri Lanka.*

The above provision requires four elements to be satisfied for the exception to apply. In the present matter, the first three elements are not in dispute. Both parties accept that the Appellant earns profits in foreign currency from services rendered to clients outside Sri Lanka and that the payments are remitted to Sri Lanka through a banking channel.

The dispute concerns the fourth element, which requires the payment received to be in the nature of a commission, discount or similar receipt for services rendered. The Respondent contends that the Appellant acts as an agent for its principal, namely, the DB Schenker Logistics Network Group of Germany, and therefore the payments received for the services rendered are commissions arising from that agency relationship.

The Appellant, however, maintains that it carries on the business of providing freight forwarding services to foreign freight forwarders nominated by overseas customers. It further contends that it contracts directly with those foreign freight forwarders, issues invoices to them and receives payment directly from them in foreign currency. The Appellant further argues that it has not claimed the exception in respect of the separate 'Network Contribution Fee' payable under the DB Schenker Network arrangement. It also contends that, in relation to export transactions, the Network Contribution Fee is paid by the Appellant. In support of its position, the Appellant

relies on the cases of *CGIR V. Aitken Spence Travels Limited*[2] and *CGIR V. Jetwing Travels (Pvt) Ltd*[3].

The TAC in its determination dated 20th of February 2020, has held in the following manner;

> *"As referred to above, the Appellant is involved in a business of freight Network Group of Germany, in Sri Lanka. It is confirmed from the notes of the forwarding and acts as freight forwarding agent, on behalf of DB Schenker Logistic financial statements for the year ended 31st March 2012, item 1.2, under the heading "Principal Activities and Nature of Operations" which states that "During the year, the principal activities of the Company were freight forwarding. The company acts as a freight forwarding agent of DB Schenker Logistic Network Group of Germany, in Sri Lanka." The Appellant company also pays a network connection fee to Schenker AG for being part of that network. The term "Affiliates" referred to are business concerns, organizations or individuals that control each other or that are controlled by a third party. The power to control is the key factor in affiliation with another business, whether excised or not. In the present case, the power to control lies with Schenker AG of Germany, the owner of the network. Further, it is confirmed from the provisions of the agreement entered in to with the Appellant, SG Logistics (Pvt) Ltd.*
>
> *The item No. 3 of the agreement under the heading "Rate of Network Contribution" which reads as follows: - "The current rate of the Network Contribution is EUR 0,045 per kg of the Chargeable Weight. This rate may be modified by Schenker AG. SG Logistics (Pvt) Ltd. agrees that the rate set by Schenker AG shall be applicable to all business between SG Logistics (Pvt) Ltd. and the Affiliates". Therefore, it would appear that there is no relationship of principal and agent or employer and employee relationship with the affiliates. The affiliates are controlled by Schenker AG of Germany, who will be their principal. This is further seen from article 12.1 of the agreement which states that, "SG Logistics (Pvt) Ltd. (the Appellant) shall comply with the operating procedures and the regulations of Schenker as laid down in Annex C to Annex G and all*

[2] *CA/TAX/0001/2021, CA minutes 27.09.2023*
[3] *CA/TAX/83/2024, CA minutes 22.01.2026*

other operating procedures and regulations of Schenker in connection with the services and the transportation of goods as may be promulgated by Schenker from time to time".

Therefore, it is clear that the Appellant company is paid a rate of network charge based on the weight of the goods exported. ***Further, it would appear that the Appellant received charges for the service rendered as an agent of DB Schenker of Germany. Hence, it is an obvious fact that, the persons who rendered services as agents receive commission, discounts or similar receipts for their services.*** *Section 13 (ddd) of the Inland Revenue Act, specifically excludes the application of the exemption granted by that section, when the section clearly states that "other than any commission, discount or similar receipt for any such service rendered in Sri Lanka".*

In this case, we have carefully considered the submissions made by the Representatives for the Appellant and the Respondent. Having regard to the material referred to above, it is clear that the Appellant is not entitled to the exemption claimed under Section 13 (ddd) of the Inland Revenue Act, as amended. Hence, we confirm the determination of the Respondent and dismiss the appeal of the Appellant." [emphasis added]

Having considered the notes submitted by the parties and the nature of the transactions, the TAC has refused to grant the exception claimed by the Appellant under section 13(ddd). The TAC proceeded on the basis that the Appellant was acting as an agent of DB Schenker of Germany and that the payments received by the Appellant were therefore in the nature of commissions arising from that agency relationship.

The Appellant, however, disputes this position. The Appellant acknowledges that its audited financial statements described the company as a 'freight forwarding agent of DB Schenker of Germany'. Nevertheless, the Appellant contends that this description was subsequently corrected by the same auditors, and that the relevant documents evidencing such corrections were submitted to the TAC (vide A5(i)). Accordingly, the Appellant argues the correction made to the description in the audited financial statements should have been considered in arriving at the decision.

The TAC, in its determination, has merely concluded that the Appellant receives commission on the basis that it is an entity under DB Schenker, without referring to any supporting material evidence. Nevertheless, it must be taken into account that, even assuming that an agency relationship exists between the parties, the fact that the Appellant receives its income by way of commission must be established by evidence. Assuming that there is a mere existence of an agency relationship does not necessarily indicate that the income received is in the form of commission. Even where such a relationship exists, the income may be paid through other means, including profit-sharing arrangements, as agreed upon by the parties. Hence, I am of the view that, even assuming that there is a mere existence of an agency relationship does not, by itself, justify the conclusion reached by TAC that the income received by the Appellant constitutes commission.

Furthermore, the TAC exercising an administrative function cannot merely come to a conclusion without legal basis and material evidences, and the Principles of Natural Justice has to be followed in process of such determination.

Having considered the foregoing, I am of the view that that TAC in arriving at its determination, has failed to substantiate its conclusion with sufficient evidence.

Furthermore, in determining the services rendered by the Appellant and the subsequent payment made, the required agreement between the parties needs to be considered. Accordingly, the 'International Partner Agreement' entered by the Appellant with DB Schenker of Germany needs to be taken into account.

I shall reproduce the required clauses of the said agreement for reference below;

> *"Article 3 - Authority*
>
> *In the performance of the Services, each party acts in its own name and on its own account. Unless authorised in writing, neither party shall have the authority to enter into Agreements binding on the other party or to bind the other party in any other way.*
>
> *Article 9 - Remuneration*

9.1. 1 A remuneration for the Services shall be paid by one party to the other in accordance with

9.1.1. Annex C in case of shipments by air,

9.1.2. Annex D in case of Full-Container-Load shipments by sea,

9.1.3. Annex E in case of Less-than-Container-Load shipments by sea,

9.1.4. (where applicable: Annex F in case of international transport by road).

In case of Services other than those specified in Annexes C, D, E or F, the remuneration

9.2. shall be in the form of a profit share on a 50/50 percent basis, unless the parties agree otherwise.

Article 3 of the agreement provides that, in performing the services each party shall act in its own name and on its own account. Further, Article 9, which deals with remuneration for the services rendered, provides that subject to the specific terms set out in Annexures C, D, E and F, the remuneration shall be based on a 50:50 profit-sharing arrangement. None of the said Annexures characterises such payments as commissions or otherwise indicates that the remuneration is received by the Appellant in that capacity (vide A9).

Having considered the terms of the agreement as a whole, I am of the view that the arrangement between the Appellant and DB Schenker does not establish that the Appellant receives commission income from DB Schenker. Accordingly, the material before this Court does not indicate that the payments received by the Appellant for the services rendered constitute commission income.

In these circumstances, I am of the view that the TAC has failed to give due consideration to the material documentary evidence, particularly the terms of the agreement between the Appellant and DB Schenker, in determining the nature of the relationship between them. Consequently, the conclusion that the Appellant received commissions by virtue of an agency relationship is not supported by the terms of the agreement.

For these reasons, I hold that the payments received by the Appellant are not in the nature of commissions or similar receipts within the meaning of section 13(ddd).

As the first three requirements of the said provision are undisputed and the fourth requirement has also been satisfied, hence I am of the view that the Appellant has fulfilled all the requirements for the application of the exception under section 13(ddd).

Accordingly, I answer the substantive Questions of Law in favour of the Appellant.

CONCLUSION

When considering the facts and the circumstances of the case, in line with the materials presented before this court, I am of the considered view that the Questions of law formulated by the Appellant should be answered as set out below.

CA/TAX/10/2020

Question of law No. I - Affirmative

Question of law No. II - Affirmative

Question of law No. III - Affirmative

Question of law No. IV - Affirmative

Question of law No. V - Affirmative

Question of law No. VI - Affirmative

Question of law No. VII - Affirmative

Question of law No. VIII - Affirmative

Question of law No. IX - Affirmative

Question of law No. X - Affirmative

Question of law No. XI - Affirmative

Question of law No. XII - Affirmative

Question of law No. XIII - Affirmative

Question of law No. XIV - Affirmative

Question of law No. XV - Affirmative

Question of law No. XVI - Affirmative

Question of law No. XVII - Affirmative

CA/TAX/11/2020

Question of law No. I - Affirmative

Question of law No. II - Affirmative

Question of law No. III - Affirmative

Question of law No. IV - Affirmative

Question of law No. V - Affirmative

Question of law No. VI - Affirmative

Question of law No. VII - Affirmative

Question of law No. VIII - Affirmative

Question of law No. IX - Affirmative

Question of law No. X - Affirmative

Question of law No. XI - Affirmative

Question of law No. XII - Affirmative

Question of law No. XIII - Affirmative

Question of law No. XIV - Affirmative

Question of law No. XV - Affirmative

Question of law No. XVI - Affirmative

Question of law No. XVII - Affirmative

Question of law No. XVIII - Affirmative

This appeal is allowed.

Since the questions of law raised by the Appellant are answered in the above manner. In **CA/TAX/10/2020**, the determination of the TAC dated 20th of February 2020 in relation to the substantive matter, and the determination of the Respondent dated 23rd of November 2016 are overturned and the Assessment dated 24th of February 2015 issued by the Deputy Commissioner of the Department of Inland Revenue, is hereby annulled.

In the case of **CA/TAX/11/2020**, the determination of the TAC dated 27th of February 2020 in relation to the substantive matter, and the determination of the Respondent dated 23rd of November 2016 are overturned and the Assessment dated 28th of November 2016 issued by the Deputy Commissioner of the Department of Inland Revenue, is hereby annulled.

The Registrar is directed to issue a copy of this judgment to the Secretary of the Tax Appeals Commission for necessary action.

Judge of the Court of Appeal

Annalingam Premashanker J.

I agree

Judge of the Court of Appeal